PREFERRED RESIDENTIAL HOMES

for Youth

EMPLOYEE HANDBOOK

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Purpose of Employee Handbook This Handbook applies to all employees employed by Preferred Residential Homes. We encourage you to read it

carefully. Before you read this Employee Handbook, it is important for you to understand its purpose and significance. This Handbook is a general guideline voluntarily adopted by the Company for informational purposes only. It is not intended to and does not create an express or implied contract of employment or any other contractual rights, obligations or liabilities. Employment at the Preferred Residential Homes is voluntary and at-will, unless otherwise specified by written agreement or applicable law. The policies in this Handbook are not intended to create a contract. The policies should not be construed to constitute contractual obligations of any kind, or a contract of employment between the Company and any employee. Regardless of what this Handbook states or provides for, or employees' understanding of the policies and procedures outlined herein, the Company does not make guarantees of any kind with respect to continued employment or the content of this Handbook. This Handbook cannot cover every situation or answer every question about policies. This Handbook is therefore not a binding commitment and reflects current policies, which may be amended from time-to-time for any reason without advance notice. The policies, and rules described in this Handbook (as well as its attachments and all subsequent revisions) are effective as of the date indicated at the lower right- hand corner of each page of this Handbook, and supersede and/or replace all policies, rules descriptions issued previously with regard to the subject matter therein. No officer, division head, employee or representative of the Company is authorized to enter into an agreement- express or implied-for employment for any specified period of time, to guarantee any particular position for any specified period of time or to make any promises with respect to compensation, promotional opportunities or any other term or condition of employment unless such an agreement is in a written contract signed by the Executive Director of the Company. Not all the Company's policies and procedure are set forth in this Employee Handbook. Only some of the

more important ones have been summarized. If employees have any questions or concerns about this Employee Handbook or any other policy or procedure, they should ask their manager, or their Human Resources appointed person. This Employee Handbook is intended to offer general policies that comply with all applicable federal, state, and local laws. All policies and provisions in this Employee Handbook shall be interpreted and administered in accordance with all applicable federal, state, and local laws. In the event any policy or provision conflicts with any federal, state or local law, the policy or provision shall be interpreted and administered in accordance with the applicable federal, state or local law.

Our Commitment to Diversity A. Equal Employment Opportunity Preferred Residential Homes is committed to ensuring equal employment opportunities to all applicants for employment and employees. The Company prohibits unlawful discrimination, harassment or retaliation on account of a person's sex, pregnancy, age, race, color, religion, creed, national origin, ancestry, citizenship, immigrant status, military status, veteran's status, disability, genetic information, sexual or affectional orientation, gender, gender identity, marital status, family status, domestic partner or civil union status, or any other characteristic made unlawful under applicable law. Preferred Residential Homes expects that all employees shall be treated equally without regard to these characteristics. The principles of equal employment opportunities and anti-discrimination also apply to the treatment of visitors, clients, customers, and suppliers. All terms and conditions of employment, including, but not limited to, recruiting, hiring, promotion, demotion, transfer, layoff, termination, training, benefits, and rates of pay will be administered without regard to any of the categories listed above or any other category protected by law. The Company's policy on equal

employment opportunity supports and is consistent with the Company's commitment to enhancing diversity and inclusiveness. B. No Discrimination and No Harassment Preferred Residential Homes is committed to a workplace that is free of discrimination and harassment based on any protected characteristic. Harassment can be conduct, such as intimidation, ridicule, or insult, which has the purpose or effect of unreasonably interfering with an individual's work performance or of creating an intimidating, hostile, or offensive work environment. Harassment can include, but is not limited to, slurs, epithets, threats, derogatory comments, visual depictions, unwelcome jokes, teasing, unwanted touching or sexual advances, and other similar verbal or physical contact or electronic communications (including voicemail, e-mails, IMs and text messages) based on any protected characteristic, including sex. Discrimination and harassment are prohibited both in the workplace and off premises at work- related settings, such as meetings at customer/client work sites, business trips and business-related social functions. Violations of the policy may result in disciplinary action up to, and including, termination. C. No Sexual Harassment Preferred Residential Homes will not tolerate any harassment, including sexual harassment. Consistent with the foregoing, the following behaviors are prohibited, whether by a man or a woman and whether directed at a man or a woman: The following is a list of some examples of the types of behavior that could constitute sexual harassment, which is not meant to be exhaustive: • Verbal harassment such as derogatory comments or slurs, comments about an individual's body, use of sexually degrading words, suggestive or offensive notes, letters, or invitations. • Physical harassment such as any touching of another, assault, impeding or blocking movement, or any physical interference with normal work or movement when directed at an individual. • Visual forms of harassment, such as displaying derogatory or offensive posters, cartoons or

drawings. • Requests for sexual favors or unwanted sexual advances; and • Any other conduct that unreasonably interferes with an employees' performance of their job or that creates an intimidating, hostile or offensive working environment.

D. No Retaliation Preferred Residential Homes will not tolerate unlawful retaliation against any person who makes a good faith complaint of unlawful discrimination, harassment or retaliation, serves as a witness or otherwise participates in good faith in the investigatory process. The Company also will not tolerate unlawful retaliation against someone who is associated with any person who makes a complaint. If employees believe that they may have been, or anyone else may have been, unlawfully discriminated against, harassed, retaliated against, or subject to any inappropriate conduct prohibited by this policy, employees should report their concerns immediately to their manager and/or the Program Manager. All complaints will be investigated promptly, and, to the extent possible, confidentiality. E. Religious Accommodations Preferred Residential Homes will make reasonable accommodations for employees' observance of religious holidays and sincerely held religious beliefs, including providing time off for observation of official holidays or providing exceptions to attire and grooming standards, unless doing so would cause an undue hardship on the Company's operations. Employees requiring a religious accommodation should contact their HR for assistance.

General Employment Practices A. Employment-At-Will Employment with Preferred Residential Homes is at-will. This means that employment may be terminated for any or no reason, with or without cause or notice at any

time by employees or by the Company. Nothing in this Employee Handbook or any oral statement shall limit the right to terminate-at- will. This at-will employment policy is the sole and entire agreement between employees and the Company as to the duration of employment and the circumstances under which employment may be terminated. No manager has any authority to enter a contract of employment express or implied that changes or alters the at-will employment relationship. Only the Chief Executive Officer (Executive Director) has the authority to enter into an employment agreement that alters the at-will employment relationship, and any such agreement must be in writing signed by the Executive Director. B. Employee Eligibility and Work Authorization Preferred Residential Homes is committed to employing only individuals who are authorized to work in the United States. As a condition of employment, all individuals must provide satisfactory evidence of their identity and legal authorization to work in the United States within three business days of beginning employment. If employees cannot verify their right to work in the United States within three business days of beginning employment, the Company will be required to terminate their employment immediately.

C. Employee Classifications Employment classifications are defined as Regular Full-Time, Regular Part-Time, and Temporary as follows: • Regular Full-Time: This describes the employment of those employees regularly scheduled to work at least forty (40) hours in a work week. Regular Full-Time employees may be eligible for the benefits described in this Handbook. • Regular Part-Time: This describes the employment of employees who are regularly scheduled fewer than forty (40) hours in a work week. Regular Part-Time employees may only be eligible for certain benefits described in this Handbook. • Temporary: Temporary employees are not eligible for company benefits. Employment is also characterized as exempt or non-exempt. 1. Non-exempt Employees: Hourly employees whose job duties entitle them to overtime pay as required by applicable federal, state and local law. 2. Exempt Employees: Employees whose job duties do not require that they be paid overtime pay per applicable federal, state and local law. Note: These classifications do not guarantee

employment for any specified period. The right to terminate the employment relationship at will at any time, with or without cause and with or without prior notice, is retained by both employees and the Company. D. Voluntary Open-Door Policy Preferred Residential Homes is committed to providing open lines of communication between employees and management to address constructive suggestions, questions and concerns. Employees should feel free to contact their manager or their HRBP with any suggestions and/or complaints at any time. If employees still have concerns, they may request a discussion with HR. Finally, if employees still believe that their problem has not been fairly or fully addressed, request a discussion with the Executive Director. E. Obligation to Report Criminal Convictions During their entire employment with Preferred Residential Homes, regardless of position held, if employees are convicted of any felony, or if they are convicted of any misdemeanor involving violence or dishonestly such as theft or fraud, then they must report the conviction immediately to their manager or HR. If the Company discovers such a conviction, either through a periodic background check or any other means, and it has not been reported as required under this policy, employment may be terminated immediately. If employees have any questions about what convictions are covered by this policy, they should contact their HR.

F. Reporting Suspicious Behavior If employees believe that any employees or agents acting on behalf of the Company have engaged in illegal or unethical conduct of any kind, including but not limited to fraud, they should contact HR immediately. The Company will: • Conduct a prompt and, to the extent possible, confidential investigation. • Take appropriate disciplinary action, up to and including termination of employment, with respect to anyone who is found to have engaged in illegal, unethical and/or inappropriate behavior; and • Not tolerate unlawful retaliation against anyone who makes a good faith complaint, serves as a witness or otherwise participates in the investigation in good faith. G. Cooperation with Company Investigations Employees are expected to cooperate fully and honestly in any investigations conducted by the Company of alleged unlawful, unethical, unsafe or improper behavior. Failure to cooperate may be cause for disciplinary action, up to and including termination. Employees who knowingly and in bad faith provide false, incomplete or misleading information to the Company's investigator, manager, attorneys, auditors or any other person during the course of any investigation (whether such employee is the complainant, the accused, or a witness) may be terminated immediately. H. Personal Data Changes Employees personnel records

contain information relative to their employment with Preferred Residential Homes, such as changes in earnings and job positions, employees' participation in job-related training and written appraisals of their job performance. Because it is essential that the information contained within employees' personnel records be kept up to date, employees are required to notify Human Resources when any of the following events occurs: • Change in legal name • Change of address or telephone number • Change in marital status/dependents (only if relevant to participation in Company- sponsored insurance benefits) • Change in the number of exemptions claimed for income-tax withholding purposes • Change of designated individual to be notified in case of emergency Upon request, employees may be eligible to inspect certain contents in their Personnel Record. If employees wish to make such an inspection, they must make a written request addressed to Human Resources. At that time, employees will be informed of the procedure and conditions governing personnel record inspections, which will be consistent with applicable federal, state and local law. I. Positions Transfers and Promotions Preferred Residential Homes will offer employees opportunities for development and career advancement through transfer and/or promotion within the Company.

Employees are responsible for communicating their intentions to apply/or interview for an internal position with their manager. When applying to a posted position, employees are expected to communicate directly with Human Resources and should not meet with hiring managers outside of the interview/recruiting process. Managers are not authorized to make offers of transfer or promotion outside of the interview/recruiting process and without appropriate approvals. Managers should be aware of their employees' career goals and encourage employees to pursue career development within the Company. Employees who have received a written warning, performance improvement plan, or are generally not meeting the performance expectations of their current position, are not eligible for transfer or promotion. Newly hired employees will be eligible to take advantage of the posting process after completion of twelve (12) months of service. Employees who have transferred to a new position will

be eligible for the posting process after twelve (12) months in the new position. The Company may grant exceptions to eligibility based on business needs. J. Working Remotely Remote work arrangements allow employees to work at an alternate work location for all or part of their regular work schedule. Remote work is a work alternative that may be appropriate for some employees and some positions. Employees' eligibility to work remotely depends on many factors, including, but not limited to, the nature of job duties and employee performance history, and is always determined solely by Preferred Residential Homes. Likewise, even after a remote work arrangement is approved, the Company may modify or rescind the arrangement at any time due to declining performance, change in business needs or any other reason. A Structured Remote Worker is an employee who regularly works in a location other than a main office location, including a remote home office or alternate work location, and has received the appropriate approvals from management in accordance with the Company's Remote Work Policy. Workplace Conduct A. Basic Work Rules To assure safety and security and provide the best possible work environment, Preferred Residential Homes expects employees to follow basic, common sense rules of conduct that will protect everyone's interests and safety. It is not possible to list all the forms of behavior that are considered unacceptable in the workplace, but the following are examples of infractions of rules of conduct which may result in disciplinary action, up to and including termination: • Damage to Property: The Company has made a tremendous investment in its facilities. Deliberate, reckless, or careless damage to the Company's property will not be tolerated. If appropriate, damage to the Company property will be reported to law enforcement agencies. • Discourtesy or Disrespect: The Company expects all employees to conduct themselves professionally. This includes being courteous, polite, and friendly to customers and vendors, and to their fellow employees. No

one should use profanity or show disrespect to a customer or another employee or engage in speech or activity that disparages the Company’s products or services.

• Fighting or Threats: Preferred Residential Homes will not tolerate fighting, threatening words or conduct, loud and disruptive language, or any other actions that could injure a customer, fellow employee, or member of the public, regardless of where such words or actions occur. • Fraud, Dishonesty or False Statements: No employee or applicant may alter, falsify or make any written or oral misrepresentations on or about any customer or potential customer, customer or potential customer document, employment application, resume, document establishing identity or work status, medical record insurance form, invoice time sheet, time card, or any other Company document, or approval of any of the above. If employees observe or are aware of such violations, they should report them immediately to their manager. • Gambling: Employees may not engage in any form of gambling on Company premises or on Company time. • Gifts, Gratuities and Entertainment: Generally, employees may not offer or accept any gift, gratuity or entertainment of any kind from a client. (See Conflicts of Interest for details). • Insubordination: Employees must not refuse to follow the lawful directions of their manager. If employees believe they are being asked to perform an action that is a violation of law, and/or harmful or potentially harmful to the employees’ or the safety of others, they should report the request immediately to their manager or to HR. • Leaving Early and Returning Late: Leaving early or returning late from breaks or lunch is prohibited, employees are expected to obtain and eat their meals during non- work time (off the clock). Also prohibited is employees leaving their work assignment before the scheduled end time to change clothes or prepare to leave before the end of their scheduled shift. • Personal Calls or Cell Phone Use: Personal telephone calls and personal cell phone use interferes with employee productivity and can be distracting to others. For that reason, personal calls and cell phone use, including but not limited to, text messaging, internet browsing, watching videos, social media use and streaming, should be done away from work the work area and outside your work schedule – before work, during breaks, and after work. During work time, the use of employees’ cell phones should be limited to emergency situations. • Poor Performance: All employees are expected to make every effort to learn their jobs and to perform at a satisfactory level. Employees who fail to maintain a satisfactory level of performance are subject to discipline up to and including termination. • Sleeping or Inattention: To protect the safety of all employees and to properly serve our clients, everyone needs to be fully alert while on the job. The Company cannot tolerate sleeping or inattention on the job. • Theft: Stealing or attempting to steal Company property or property belonging to others will not be tolerated. To protect all employees and the Company, Preferred Residential Homes reserves the right to inspect all purses, briefcases, backpacks, packages, desks, cabinets, vehicles, and any other containers or items On Company property. If employees wish to remove any Company property from the premises, they must obtain written permission in advance from their manager. • Training: To provide outstanding client service and comply with all applicable DCS guidelines, the Company requires its employees to complete mandatory online training on a variety of subjects. Employees must complete all mandatory training within the time allotted. Failure to complete training may result in disciplinary action, up to and including termination. Full time employees are required to take 24 hours of training annually and Part time employees are required to take 12 hours of training annually.

B. Confidential Company Information Preferred Residential Homes's confidential and proprietary information is vital to its current operations and future success. Employees should use all reasonable care to protect or otherwise prevent the unauthorized disclosure of such information. Except as provided in the last paragraph of this policy, in no event should employees disclose or reveal confidential information within or outside the Company without proper authorization or legitimate business purpose. "Confidential Information" refers to an item of information, or a compilation of information, in any form – on paper, in an electronic file or otherwise – related to the Company's business that the Company has not made public nor authorized public disclosure of, and that is not generally known to the public through proper means. Confidential Information includes but is not limited to records, lists, trade secrets, business processes, methods of pricing, financial conditions or results and information related to actual or anticipated business not generally available to or used by the public. In addition, employees who by virtue of performance of their job responsibilities have access to the following information, should not disclose such information for any reason, except as required to complete job duties, without the permission of the employee at issue: Social Security numbers, driver's license or resident identification numbers, financial account, credit card or debit card numbers, security and access codes or password that would permit access to medical, financial or other legally protected information, employee health records, internal investigation files, litigation files and personnel files. Confidential Information does not include information lawfully acquired by non-management employees about wages, hours, benefits, or other terms and conditions of employment. Nothing in this Employee Handbook shall be construed to permit or condone unlawful conduct, including but not limited to theft or misappropriation of Company property, trade secrets or information. All Confidential Information must be stored in a secure manner to protect against unauthorized access or use. Confidential Information – that is, hard copy or data stored on USB drivers, CD- ROMS or any storage device – should be stored in a locked file or office and should not be kept in plain sight. In addition, Confidential Information should be discarded by taking reasonable measures to protect against unauthorized access to or use of the information in connection with its disposal. Reasonable measures include shredding or destruction so that data cannot be read or reconstructed. Documents, USB drives, CD-ROMS or any devices that were used to store confidential or internal information should be disposed of in approved shredding containers. As a condition of employment, all employees must sign the Employee Agreement on Non- Disclosure and Non-Solicitation provided by the Company at hire, promotion or other times or intervals as may be required by the

Company. C. Unauthorized Recording Employees are prohibited from recording conversations, phone calls or other activities in the workplace, or for arranging for or assisting other (employees or non-employees) to do so except as otherwise provided herein.

Under certain other limited circumstances, designated Company officials may authorize, in writing, the use of visual recording devices and sound recording devices by employees for specific legitimate business purposes. In such instances, the designated Company official will ensure that the appropriate consent to the recordings, where applicable, has been obtained. Employees who violate the Policy will be subject to appropriate disciplinary action, up to and including termination. Nothing in this policy prohibits the Company from recording telephone calls, including but not limited to, closing calls conducted by Loan Originators or other staff as it relates to specific loan transactions and customer calls, among others. D. Social Media This policy applies to all forms of social media/social networking, existing now or developed in the future, including, but not limited to social networking sites (e.g., Facebook©, Twitter, LinkedIn©, Instagram, and); blogs and other online journals, forums, or diaries; bulletin boards and chat rooms; micro blogging and posting videos or photos on YouTube© and similar media. This policy applies to both professional as well as personal uses of social media. The fact that employees intend a social media posting to be private does not remove it from the rules, requirements and restrictions set forth in this or any other policy. • Employees may not engage in any social networking during their working hours or by using the Company's Internet server or other communication systems, unless such social networking is an approved part of employees' job and the social media is on behalf of the Company or occurs during an approved work break. This prohibition does not prevent employees from sending or accepting LinkedIn invitations, so long as such activity does not interfere with their job responsibilities or violate another Company policy. • When engaging in personal social networking, employees should use personal accounts, such as their personal email address or profile. Employees should not use their work e- mail address, unless the social networking is an approved part of their job and the social media is on behalf of the Company. • In order to comply with regulations published by the Federal Trade Commission ("FTC"), if employees wish to post any "promotional content," they must state that they are an employee of the Company. Promotional content is defined as communications which are designed to endorse, promote, sell, advertise or otherwise support the Company and its mission. Employees must obtain permission from the Chief Executive Officer before engaging in any promotional postings to ensure that they comply with the Company's requirements as well as applicable laws. Employees also must obtain permission from the Chief Executive Officer before creating any affiliated or linked social media site. • All social networking, whether professional or personal, is subject to other Company policies, including, but not limited to the policies prohibiting discrimination, harassment and retaliation, conflicts of interest, confidentiality, and policies governing the acceptable use of technology and communications systems. At no time should employee's post clients on any social media platform, unless given permission from the Executive Director. • Regarding all social networking, whether personal or professional, employees may not use or disclose confidential and/or proprietary information which they acquired or developed in the course of their employment with the Company.

• Keep in mind that employees are legally responsible for their postings and should always use good judgement. For example, avoid postings that are obscene, profane, harassing, defamatory, disparaging or threatening. • Observe the copyrights of other publications or postings. • The Company's Social Media sites (for example, the Company's Facebook page) can be used only to further the Company's business

mission. All postings must be approved by the Chief Executive Officer. • Violations of this policy will result in appropriate corrective action, which may include discipline, up to and including termination. Nothing in this policy is intended to prevent, interfere with, or otherwise restrain an employee's rights under the National Labor Relations Act ("NLRA") or any other federal or state statute protecting employee workplace rights. E. Personal Appearance and Grooming Preferred Residential Homes's professional atmosphere is maintained in part by the image it presents to clients and Case managers. The Company's goal is for employees to be comfortable in the workplace while maintaining a professional appearance. The importance of good personal hygiene and appearance must be emphasized. Unpleasant or objectionable hygiene, or scents may be distracting to other employees and may be addressed by department management as needed. Not all types of clothing are suitable for the workplace. Employees should wear clothing and footwear that are comfortable and practicable for work, but not distracting, revealing or offensive to others. Here are some guidelines to ensure professional appearance: • All employees should practice common sense rules of neatness, cleanliness and comfort. • Clothing that reveals too much skin can be distracting and is not appropriate for the group home setting. • Personal appearance should include good personal hygiene and clean hair. • Facial hair should be clean and well groomed. • For specific dress code guideline for your office, please see your HR. • Provided Preferred Residential Homes T-shirts Employees who have meetings with clients, contractors, DCS case managers and others either on site or off site are expected to dress in similar attire to those attending the meeting or dress appropriately for the setting. Managers are responsible for ensuring that employees project a professional image and adhere to our Personal Appearance and Grooming Policy. Employees should understand that managers may apply the policy differently based on group home needs and that they are responsible for following their manager's instructions. Employees are encouraged to seek advice of their manager or HR if they have questions regarding appropriate attire or appearance at work. Employees who report to work improperly dressed or groomed may be instructed by their manager to return home to change. The time that non-exempt employees are absent for this purpose will be unpaid unless state law requires otherwise. Religious, medical and disability accommodation for personal appearance and grooming

Preferred Residential Homes will reasonably accommodate exceptions to this policy if required due to employees' religious beliefs, medical condition or disability. Employees who need such an accommodation should contact their manager or HR. F. Performance Reviews Preferred Residential Homes encourages ongoing communication between managers and employees reviewing employees' performance and progress. While the Company will strive to review all employees' performance annually, performance reviews may be scheduled more or less frequently at the Company's discretion. Employees are not entitled to a performance review at any specific interval. At all times, employees with questions about their performance are encouraged to discuss their questions or concerns with their manager. A positive performance review does not guarantee a salary increase or a promotion. These decisions are made at the discretion of the Company and depend on several factors in addition to an employees' individual performance. G. Contact with the Media There may be instances when employees are contacted either by an industry regulator or from the press or media, whether it is via phone, email, or in person. In these instances, employees must contact the appropriate department to handle the matter. For inquiries made by regulatory authorities or the like, please contact Legal or the Executive Director of the Company. Only Legal or the Executive Director should handle these matters. For inquiries made by the media or press, please contact either the Program Facility Supervisor or the Executive Director of the Company. Only the Head of Corporate Communications or the Executive Director of the Company should handle these matters. At no time should employees attempt to respond to these types of inquiries on their own. If employees are unsure about the nature of the request and the appropriate party to contact, they should contact their manager or their HR for further assistance. H. Conflicts of Interest All Employees are responsible

for exercising good judgment and are prohibited from engaging in outside activities that may improperly influence good business judgment in any business dealings or transactions involving the Company. 1. Unacceptable Activities For the purposes of this policy, outside activities that may improperly influence good business judgment include, but are not limited to, the following: • Participation in boards or committees of non-profit organizations with interests that may interfere with the Company's interests.

• Acting as a director, officer, consultant, agent or employee of a supplier, customer, competitor or any entity that engages in business with the Company. • Part-time employment or compensation with a company whose business is in competition with the Company, including but not limited to such entities such as mortgage brokers or realtors. • Other employment or activities, even if not in competition and regardless of remuneration, if it may interfere with your job responsibilities for the Company. • Pursuing personal advantage in exchange for business, service, or disclosure of confidential information. • Soliciting a gift from a person or entity. • Giving a cash gift to a person or entity in order to further company business. • Giving a gift of any kind to a government official or regulator. • Giving to or accepting from any person or entity a cash or cash equivalent gift. • Giving advertising or incidental promotional material to any person or entity, such as pens, pencils, key chains, or calendars; and • Engaging in self-dealing or otherwise trading on one's position with the Company or accepting a business opportunity not available to other persons or that is made available solely or principally because of one's position with the Company. 2. Acceptable Activities For purposes of this policy, acceptable activities may include, but are not limited to: • Participation in boards or committees of non-profit organizations with interests that do not interfere with the Company's interests. For example: school boards, non-professional sports clubs, museums, etc. • A business luncheon of reasonable value. • Gifts, gratuities, or favors of reasonable value given in response to commonly recognized occasions that clearly indicate that the occasion is the motivating factor and not the pursuit of a business relationship with the Company. • Meals, refreshments, entertainment, accommodations, or travel arrangements of reasonable value, in the course of a meeting or other occasion, the purpose of which is to hold bona fide business discussions, provided that the expense would be paid for by the Company as a reasonable business expense if not paid for by another party. • Receiving advertising or incidental promotional material of reasonable value, such as pens, pencils, key chains, or calendars. • Receiving discounts or rebates on merchandise or services that do not exceed those available to other customers; and • Acceptance of an award in recognition of service or accomplishment from a civic, charitable, educational, or religious organization. 3. Activities Requiring Prior Approval If employees have or are considering a financial interest or an outside employment relationship or other activity that might involve a conflict of interest, if employees have questions whether certain events or activities may give rise to an actual or potential conflict of interest, or if employees are in doubt concerning the proper application of this policy, they should check with their manager or their HR. 4. Reporting Conflicts of Interest Employees must avoid even the appearance of impropriety in association with their conduct. This may include situations in which they have been inadvertently placed due to either business or personal relationships with clients, suppliers, business partners, or industry competitors. If an actual, potential, or perceived conflict does arise, employees are required to report the details to Legal.

Failure to disclose the fact of a conflict or potential conflict of interest may constitute grounds for disciplinary action, up to and including termination. Pay Practices A. Payment of Wages Preferred Residential

Homes is on a bi-weekly pay period. Non-exempt employees are paid in arrears. Paychecks include actual hours worked as well as paid overtime paid during the pay period. Exempt employees are paid to date. The Company does not hold back any pay, so the pay employees receive assumes that they worked a regularly scheduled pay period. Adjustments, if any, will be made in the next pay period. Employees will receive their personal statement of earnings and deductions with each payroll check or direct deposit. This statement describes all deductions taken during the pay period including applicable taxes and any voluntary deductions (e.g., contributions toward group health premiums or the Company's 401k Plan) authorized by employees. In the event a payday falls on a Holiday, paychecks will be distributed the day before the regular payday when possible. B. Paycheck Deductions Preferred Residential Homes is required by state and federal laws to make certain deductions from employees' paychecks each pay period. Such deductions typically include federal and state taxes and Social Security. Employees may authorize additional deductions, for items including, but not limited to, employees' share of benefit premiums. Depending on the state in which they are employed and benefits they have chosen, additional deductions may occur. Consistent with applicable federal and state laws, the Company reserves the right to make additional deductions from wages in the final paycheck or otherwise for items that have been authorized in writing by employees, including, but not limited to, for example, repayment of tuition reimbursement, licensing and educational costs and fees, and/or relocation expenses. The amount of all deductions will be listed on every earnings statement. C. Reporting Errors and Obtaining More Information Non-exempt employees who believe that they have not been paid properly for all hours worked, if any manager requests, or even encourages employees to work "off the clock," or if they have any other concerns or questions about their pay, they should immediately contact

their HR. If it is determined that employees have not been paid properly for all time worked, their pay will be corrected in the next possible paycheck. Regardless of whether an error or other deficiency is found in an employees' pay, Preferred Residential Homes will neither engage in nor tolerate any retaliation for bringing a good faith concern to the Company's attention.

D. Discretionary Compensation Employees may be eligible to receive a bonus, incentive or other discretionary compensation based on their performance and/or the performance of the Company, all at the Company's sole discretion. Receiving a bonus or incentive for a one-time period does not guarantee employees will receive a commensurate bonus or incentive, or any bonus or incentive at all in another period. Unless an applicable contract requires otherwise, to receive a bonus or incentive, employees must be employed as of the date that the bonus or incentive is paid in ordinary course of business. E. Work Schedules A regular work week for non-exempt employees consists of 40 hours of work scheduled over five (5) workdays (Monday through Friday) within a seven (7) day work week. Employees' manager will arrange an assigned work schedule. For payroll and overtime purposes, the Company's workweek is 12:00 a.m. on Monday to 11:59 p.m. the following Sunday. Regular business hours may vary depending on an employees' position. However, it is important to remember that the nature of the Company's business and the structure of certain jobs often make it impossible to operate on a completely regular schedule. Consequently, employees may be required as part of their job to work on Saturdays and/or Sundays, to have different starting times from week to week or day to day, or to be assigned irregular work hours or work weeks. F. Attendance Employees regular and prompt attendance on each scheduled workday is essential if the Company is to achieve its business goals and to serve clients efficiently. Frequent incidents of unscheduled absence and/or reporting late and/or leaving before the end of the scheduled shift prevents Preferred Residential Homes from serving its clients efficiently, imposes additional burdens on co- workers, and prevents the Company from meeting its business objectives. These general attendance guidelines apply across the Company, but individual departments may implement more detailed attendance requirements based on company needs. If employees expect to be late for work or are unable to report to work because of illness or other unavoidable cause, they must contact their immediate supervisor at least one hour prior to their

scheduled starting time and in accordance with the procedure established for their department or group. If employees cannot reach their (House Manager or Program Facility Supervisor). If employees cannot reach their (House Manager or Program Facility Supervisor), it is enough to leave a voicemail message or e-mail message. If employees are absent for three (3) days without notifying their manager, it is assumed that they have voluntarily abandoned their position with the company, and they will be removed from payroll, except as otherwise required by state or local law and within management discretion. G. Training Non-exempt employees will be paid for all time spent in in-person training: (a) required by the Company and/or (b) during working hours. Time spent in such training should be recorded like all other working time. If employees have any questions regarding compensation for training time, they should contact their HR. A part-time support staff member is required to receive at least 4 hours of annual training, and a full-time direct care staff member is required to receive at least 24 hours of annual training All staff will receive initial orientation. Preferred Residential Homes provides both in person and online (Relias training) courses to our employees year-round.

H. Business Expense and Travel Reimbursement As required by state law and pursuant to the Company's Travel and Expense Policy, the Company will reimburse employees for reasonable business-related expenses, including travel expenses incurred while on assignments away from the normal work location. Employees should make travel arrangements and seek reimbursement in accordance with the guidelines in this policy and the Company's Travel and Expense Policy. Employees traveling on Company business away from the normal work location are expected to be familiar with the terms and requirements of the Travel and Expense Policy prior to booking any travel arrangements and/or incurring any travel related expenses. Only eligible expenses will be reimbursed. Employees must follow the Expense Reimbursement procedures of the Travel and Expense Policy and submit eligible business expenses with all necessary supporting documentation within the time period required. Exempt employees will be paid their regular salary for any days in which they travel. Non- exempt employees will be paid for travel time in accordance with federal and state wage and hour laws. Abuse of the Company's Business Expense and Travel Reimbursement policies, including falsifying expense reports to reflect costs not incurred by employees, may result in disciplinary action up to an including termination. Ordinary, commuting time – i.e., the time spent traveling from home to work and from work to home – is not considered hours worked and is not

paid. I. Meal and Rest Breaks Non-exempt employees ordinarily receive one 30-minute unpaid meal break each workday if they work five (5) or more hours on that day. Employees must take the full 30 minutes, and the 30 minutes must be taken all at once. A longer unpaid meal break may be taken with manager approval. Meal breaks may not be taken at the beginning or end of shifts. Non-exempt employees must log out before beginning their 30-minute unpaid meal break and must log back in after completing their 30-minute unpaid meal break. During the 30-minute unpaid meal break, employees may not perform any work for the Company. Non-exempt employees will be paid for their entire meal break if: (a) they do not take a scheduled meal break; (b) the meal break is less than thirty (30) consecutive minutes (for example, because employee is called back to work during their meal break); or (c) the meal break (even if 30 minutes) is interrupted by work (for example, employee receives a call.). In any of these circumstances, employees should update the timekeeping system and email their manager to ensure that they are paid. Non-exempt employees, may not skip their meal break, take less than 30 minutes or do any work during the meal break unless they have prior permission from their manager. Non-exempt employees are not required to log in and out for any rest breaks scheduled by their manager, and which are fewer than 30 minutes long (typically two 15 minutes throughout the day) unless mandated by state or local laws. J. Breaks for Nursing Mothers Preferred Residential Homes is committed to supporting mothers returning to work who wish to express milk during the workday and as such the Company provides reasonable breaks and resources needed for this purpose. Upon return to

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work, employees needing breaks for lactation purposes may use ordinary paid rest breaks or may take other reasonable break time when needed. If possible, the lactation break time should run concurrently with scheduled meal and rest breaks already provided. If the lactation break time cannot run concurrently with meal and rest breaks already provided or additional time is needed, the lactation breaktime will be unpaid for non-exempt employees. Employees will be relieved of all work-related duties during any unpaid break. Where additional time or unpaid breaks are required, employees should work with their manager or their HR regarding

scheduling and reporting the extra break time. Depending on the duration and frequency of the breaks, employees may be required to clock out. Where state law imposes more specific requirements regarding break time or lactation accommodation, the Company will comply with those requirements. K. Timekeeping Non-exempt employees must accurately record the time they begin and end their work, as well as the beginning and ending time of each meal break. Preferred Residential Homes expects non-exempt employees to record all time spent on company business, both in and out of the office, on the timekeeping system. All employees, exempt and non-exempt, must record all time off, such as Sick time off, in the timekeeping system. If employees miss a punch in or out, make a punch error or work outside of the office, it is their responsibility to notify their manager promptly for review and approval. Upon approval, an employees' manager will make the necessary correction for them in the system prior to the timecard submission deadline. Prior to the close of a pay period, employees should verify that all hours worked are recorded accurately. If changes are required, employees should follow the procedures for requesting changes from their manager. Managers must approve their employees' time sheets according to the established schedule. Under no circumstances may employees record the time worked by another employee or allow another employee to record their time. Both events are acts of dishonesty, which may be cause for immediate termination of all parties involved. The following conduct is subject to disciplinary action, including termination: • Misuse of any timekeeping system, altering, falsifying or tampering with time records, which is a serious violation of Preferred Residential Homes policy. • Failure to adhere to Company time keeping policies and procedures. • Repeated failure to accurately report and/or approve timecards by the established deadline. • Over-reporting or under-reporting hours worked. • Pressuring or encouraging subordinates to under-report actual hours

worked or creating an environment in which reporting necessary actual hours worked is discouraged or viewed negatively. This is a very serious violation of Preferred Residential Homes policy, employees who feel that they were subject to such actions by a manager should report the situation directly to Human Resources. • Abuse of overtime, defined as repeatedly working overtime hours, which have not been requested in advance and/or approved by employees' manager. • Taking excessive and/or unapproved breaks.

L. Overtime Non-exempt employees are paid an overtime rate (time and one half) for hours worked in excess of forty (40) in the Company's work week (unless state law requires daily overtime). Paid Leave, such as holiday and Sick time off: (1) does not count as time worked for purposes of determining eligibility for overtime compensation; and (2) does not apply toward calculating the regular rate for purposes of computing overtime compensation. Non-exempt employees are permitted to work overtime only if the additional work time is approved in advance by their manager and Program Manager. Non-exempt employees that work overtime without prior approval, or without manager notification in the event of an immediate client need, the employee will be paid for the unauthorized overtime worked. However, the employee also will be subject to appropriate disciplinary action, up to and including termination, for working overtime without the required prior approval or notification. Time Off A. Overview The Company recognizes that employees benefit from time away from work for a variety of reasons – all of which contribute toward a positive work-life balance for employees. Therefore, the Company provides time off to eligible employees, including: • Sick Leave B. Holidays: Full-time and regular part-time employees are eligible for holiday pay immediately upon hire. Employees

that “clock in”, and work hours on a company observed holiday will be paid time and a half for the hours worked. Any employees who are out on leave of absence, call in sick, or do NOT work on a company observed holiday are not eligible for holiday pay. The Company normally observes the following holidays: 1. New Year’s Day 2. Martin Luther King Jr. Day 3. Memorial Day 4. Independence Day (July 4) 5. Thanksgiving Day 6. Christmas Day C. Sick Leave Preferred Residential Homes Employees may use their accrued sick time for themselves or to take care of family members. Sick leave can be used for the following: • Medical care or mental or physical illness, injury, or health conditions. • Circumstances relating to public health emergency or communicable disease exposure. • Absence due to domestic violence, sexual violence, abuse, or stalking. For Preferred Residential Homes Employees: • Employees accrue 1 hour of paid sick time for every 30 hours worked.

• Employees may not use more than 40 hours of paid sick leave per year. • Employees begin accruing earned paid sick time upon hire. • Employees may request to use sick time orally, in writing, by electronic means, or by any other means acceptable to the employer. • If the employee has unused earned sick time at the end of the year, up to the employee’s total yearly eligibility amount (24 hours) must be rolled over into the next year. Some other details you may not know about paid sick time: • Preferred Residential Homes has a written policy about how employees are to notify Preferred Residential Homes of an unforeseeable absence (i.e., notify your direct supervisor), however Preferred Residential Homes cannot limit the method by which an employee is able to provide you with notice of the need to use paid sick time (an employee is permitted to use any available option, to include oral, written, or electronic methods). • Paid sick time can be used in 1-hour increments. • Preferred Residential

Homes will not require a doctor’s note or other reasonable documentation unless 3 or more consecutive days are used. • Preferred Residential Homes will not require specific details as to the reason for absence, and if the employee provides details, you are required to keep them confidential. • Preferred Residential Homes cannot require employee to find a replacement for their shift. FMLA Benefits At this time Preferred Residential Homes does not provide FMLA to employees. FMLA only applies to all public agencies, including state, local, and federal employers, local education agencies (schools), and private-sector employers who employ 50 or more employees. Workplace Safety and Security A. Workplace Violence In order to promote a safe, healthy work environment, Preferred Residential Homes prohibits the following behaviors: • Threatening to harm any employee or non-employee with whom employees come into contact in the course of their employment (regardless of when or where the prohibited behavior occurs). Prohibited threats can be expressed or implied and by written, verbal or by electronic means. The fact that a threatening comment may have been conditional or hypothetical or made “as a joke” is not acceptable. • Threatening to cause or intentionally causing damage to or the destruction of the Company’s property or the property employees come into contact in the course of their employment (regardless of when or where the prohibited behavior occurs). Again, the fact that a threatening comment may have been made in jest is not acceptable. • Possessing or concealing a weapon while on Preferred Residential Homes premises or anywhere else while doing business for the Company. For purposes of this prohibition and where allowed by applicable state and local law, a weapon is defined to include guns, rifles, firearms, knives, explosives, bombs and any and all other tools or instruments capable of inflicting harm to persons or property. Company premises include the buildings, parking lots and surrounding grounds owned or leased by the Company. •

Physically assaulting, attacking or intentionally causing injury to, or otherwise engaging in a fight or physical altercation with, any employee or non-employee with whom employees come into contact in the course of their employment (regardless of when or where the prohibited conduct occurs).

Employees who violate any of the prohibitions set forth above may be subject to immediate termination and criminal prosecution. Employees should speak with their HR, their manager, or call 911, as necessary, if: • They have been intimidated, threatened or harassed, verbally, in writing or physically, by a co-worker or anyone else with whom they do business. • They have been intimidated, threatened or harassed, verbally, in writing or physically, by a non-employee independent of their employment relationship with the Company but feel that they may look for employee at their workplace. • They become aware of the existence of an individual on or near Company premises when they believe that they may not have an appropriate business purpose for being here; or • They become aware of any other action, situation or occurrence which they believe may threaten their personal safety or the well-being of those around them. B. Work Related Injuries Employees who sustain a work-related injury or illness should inform their manager immediately. No matter how minor an on-the-job injury may appear, it is important that the injury be reported immediately. C. Tobacco-Free Workplace Preferred Residential Homes provides a work environment that is tobacco and smoke free. Smoking and the use of all tobacco-related products, including but not limited to smoking, the use of chewing tobacco and the use of e-cigarettes, are strictly prohibited inside the building and within company vehicles. Outside the building, smoking or use of other tobacco products is limited to designated smoking areas, off of the premises and where clients are not around. D. Substance Abuse Policy The Company's ability to maintain a safe workplace and to promote high standards of employees' health is directly dependent upon the establishment and maintenance of a workplace that is free from the adverse effects of drug use and alcohol abuse. Preferred Residential Homes will have all new hires obtain a drug test before starting their on-the-job training. Staff will be test annually or on an as need bases going forwarded with employment. Employees of Preferred Residential Homes are always required to be fit-for-duty during the workday or while on Company premises. The Company reserves the right to determine fitness-for-duty by drugs and/or alcohol tests or otherwise where there is reasonable suspicion that employees may be under the influence of illegal drugs or alcohol during the workday or while on Company premises. Employees are unfit-for-duty if they test positive for illegal or recreational drugs or alcohol. A positive drug test includes positive-dilute. If employees test positive for illegal drugs or alcohol, they will be terminated immediately, to the extent permitted by applicable law. If employees' drug test is reported as adulterated, substituted or invalid, they may be terminated immediately, to the extent permitted by applicable law. Employees may be subject to immediate termination if they fail to submit to testing on the day and time requested, to the extent permitted by applicable law.

The use of alcohol while on Company premises or during working hours is strictly forbidden and may be cause for immediate termination. If

employees return to work under the influence of alcohol, they shall be subject to appropriate disciplinary action, up to and including immediate termination. Using, possessing, manufacturing, selling, distributing or dispensing illegal drugs while on Company premises or during the workday is also strictly forbidden and may be cause for an employees' immediate termination. Involvement with illegal drugs off premises or outside of the workday also may result in appropriate disciplinary action, up to and including termination, where such involvement may have an adverse effect on the Company's reputation and/or the operations. E. Company's Right to Search Desks, cabinets and other storage areas are provided for the convenience of employees but remain sole property of the Company. Accordingly, they, as well as any articles found within them, can be inspected by any agent or representative of Preferred Residential Homes at any time, either with or without prior notice. In addition, to ensure the safety and security of employees and customers and to protect the Company's legitimate business interests, the Company reserves the right to question and inspect or search employees or other individuals entering of leaving the Company premises or job sites. The inspection or search may include any packages or items that the individual may be carrying, including briefcases, handbags, knapsacks and shopping bags. These items are subject to inspection and search any time, with or without notice. The Company may also require employees to agree to reasonable inspection of their personal property and/or person while on the job or on the Company's premises. Individuals may be requested to self-inspect their personal property or person by displaying the contents of any package and/or turning out their pockets, etc. in the presence of a Company representative, typically a member of management of the same gender. F. Cameras and Video Surveillance For purposes of workplace safety and security and to prevent theft and other misconduct, Preferred Residential Homes has installed or may install

video cameras in such locations as it deems appropriate. If there is any reported incident of theft, trespass, workplace violence, employee misconduct or any type of safety violation, hereafter collectively referred to as “security incidents”, the Company will use its surveillance equipment as an investigatory tool. The Company will also make use of its surveillance equipment to deter any security incidents. Preferred Residential Homes also reserves the right to actively monitor through its surveillance cameras any areas for safety reasons to protect against equipment failure, breakage or accident or for confidentiality reasons to protect documents or other proprietary information. Although the video surveillance described in this policy is intended to monitor for security incidents and other safety reasons at the Company it is possible that such surveillance may monitor activities not related to the Company’s business. Preferred Residential Homes respects the privacy of its employees. Accordingly, video footage from the surveillance is to be used solely for the purposes of this video surveillance policy. Any unauthorized use of these video cameras and/or videotapes is strictly forbidden and may result in discipline up to and including termination. G. Use of Company Property and Company Monitoring of Company Communication Systems

The Company’s Communication Systems, include, but are not limited to: • Telephone systems • Fax machines • Computer software/applications and hardware • Workstation PCs and Laptops • Remote Access servers and applications • Network/File servers • E-mail servers and systems • Company Courier Accounts, such as Federal Express or UPS • Instant messaging networks • Text messaging networks • Voicemail systems • Internet Servers • Skype • All Portable devices (such as PDAs, pagers, USB drives, memory sticks, flash drives, CDs, DVDs, mobile phones, etc.) • Other Communication Systems and/or technologies, which may be made available by the Company to employees. Use of Communications Systems and other Company property is intended for business purposes and use for personal purposes should be kept to a minimum and not interfere with business activities. Company equipment and property may never be removed from Company premises for personal use in the absence of written authorization from employees’ manager. Use of Communications Systems to violate the law or any Company policy, including, but not limited to the policies prohibiting discrimination, harassment, and retaliation, may result in disciplinary action, up to and including termination. The Company reserves the right to monitor, access, search, block, copy, delete, review and disclose at any

time messages or documents created, sent, stored or received on, as well as any websites visited on, any of the Company's Communication Systems, whether accessed on site or via remote locations. By using the Company's Communication Systems, with respect to which employees have no expectation of privacy, employees consent to the Company and third-party service providers monitoring, accessing, searching, blocking, copying, deleting, reviewing and disclosing, both real time and after the fact, any documents or messages which they create, send, store or receive on, as well as websites visited on, the Company's Communications Systems. Failure to cooperate with the Company in its exercise of any rights described in this Policy may be cause for employees to be disciplined, up to and including termination. Employees who violate the Policy will be subject to appropriate disciplinary action, up to and including termination. For full details please refer to the Appropriate Use of Technology Policy found on the Policies and Procedures section of the Company's Intranet. Computer Policy To ensure legal compliance and to avoid the inadvertent creation of technological problems, employees may not: • Copy Company-provided software programs (even if from one Company computer to another or to a storage device such as a diskette).

• Install or load on or download or remove from a Company computer or from any network service any software programs or other electronic content (including, but not limited to, games, screen savers, digital photographs or video, anti-virus software and shareware or freeware). • Install Company-provided software programs on a home or other non-Company computer system. • Run any maintenance or diagnostic software programs. • Install new hardware on a Company computer or attempts to service a Company computer or any other computer peripherals. • Upgrade, enhance, or attempt to alter or reverse engineer any software program. • Disable any security (i.e., anti-virus) or diagnostic programs installed on Company computers. Accounts and passwords are provided to all employees who have access to the Company's computers and must not be shared. The Company may loan a laptop to employees. The Company reserves the right to review and copy the content of any and all messages sent, stored, or saved on the Company laptop and employees consent to same by using the laptop. The Company may also "wipe" the content of the laptop at any time, and employees consent to same by using the laptop. Employees are prohibited from encrypting files on their computers or taking any steps that block access to files, other than the use of Company passwords or approved encryption programs. Employees who violate this policy will be subject to appropriate disciplinary action, up to and including termination. H. Visitors Access to Preferred Residential Homes premises and project sites is strictly limited to individuals currently employed by the Company and to those having business with the Company. Visitors, other than those conducting business with the Company, are not permitted on Company premises without the prior permission of employees' manager. Employees being visited are responsible for the actions of their guests, this includes children. Should guests of employees act in such a manner that disrupts the normal working conditions of the Company or threatens the security of the Company and/or its employees, employees accompanying the guest may be held responsible for the guest's actions and be subject to disciplinary action up to and including termination. As a rule, it is not appropriate for children to be in the workplace; however, if it becomes necessary for a child to accompany their parent in the workplace, it is expected the duration will be short and not while employees are working. At all times, employees cannot leave a child unattended and must ensure the child is not disruptive to others. If employees notice the presence of any unauthorized individual or individuals on Company premises, employees should notify their manager or security immediately. I. Cell Phone Use/Texting While Driving Preferred Residential Homes requires employees to comply with the following specific rules regarding cell phone use while driving a motor vehicle in the scope of performing their duties for the Company: 1. During working hours or while conducting business on behalf of the Company (even if not during working hours), employees who drive a motor vehicle:

a. may not use a hand-held cell phone, except as provided for in Paragraph 2 below. b. may use a hands-free cell phone. 2. Employees may use a hand-held cell phone while driving a motor vehicle during working hours or while conducting business on behalf of the Company (even if not during working hours) under the following limited circumstances: a. to activate, deactivate or initiate a function of such telephone. b. to contact the police or other emergency personnel in the event of an emergency. 3. A cell phone will be considered hands-free if it can be used without the driver holding it with either hand, for example, it is attached to the car, it is connected to a headset worn by the driver without holding the phone or the phone has blue tooth capability and can be used without being held. While employees are not prohibiting from using cell phones in the workplace, employees should make sure that such use does not interfere with their work or the work of others. Personal calls should be kept to a minimum. In addition, the cell phone should be programmed so that notification of in-coming calls is heard only by employees with the cell phone and not others around them. If employees choose to use a personal cell/smart phone for work-related written communications (e.g., text messages, emails), the Company reserves the right to request the history and content of the Company or business-related messages sent and received on the employees' personal cell/smart phone. J. Personal Property and Pets in the Workplace Preferred Residential Homes is not responsible for loss or damage to personal property. Valuable personal items, such as purses and all other valuables, should not be left in areas where theft might occur. Preferred Residential Homes is responsible for the health and safety of all employees and, accordingly, does not permit employees to bring their household pets to the office, except for service animals. Unless authorized by the Program Manager and/or the Executive Director. Despite the benefits a household pet may bring to its owner, pets can also have accidents, exhibit aggressive behavior, cause allergic reactions, and otherwise detract, interfere, or distract employees from performing their jobs. If employees require the assistance of a service animal that has been trained to perform a specific job or task or if they believe that having a pet at work is medically necessary, employees should contact their HRBP so that the Company can discuss providing them with a reasonable accommodation. Preferred Residential Homes reserves the right to make decisions based on applicable law and business considerations. K. No Solicitation/Distribution of Literature Preferred Residential Homes has established the following rules applicable to all employees and non- employees that govern the solicitation and distribution of written materials and the access to Company property: • Employees may engage in solicitation actives only during non-working times. No employees may engage in solicitation during their work time or during the work time of the employees at whom such activity is directed. • Employees may distribute or circulate any written or printed materials only in non-work areas, during non-working times. No employees may distribute or circulate any written or printed materials in work areas at any time during their working time or during the working time of employees at whom such activity is directed.

• Non-employees are not permitted to solicit or to distribute written materials for any purpose on Company property. • Off-duty employees are not permitted in work areas. Strict compliance with these rules is required by all employees. As used in this policy, "working time" includes the time that employees are expected to be performing job assignments, but does not include lunches, break periods or other non-working times, even when employees are "on the clock". Not with standing, Preferred Residential Homes recognizes that soliciting support for various causes or organizations, especially those of a non-profit, charitable nature can be a benefit not only for our employees, but to the Company and the communities in which we operate. It is important, however, to set limits on and guidelines around such activities to minimize disruption to the work environment. The Company engages in planned community partnerships and support for non-profit organizations. Employees may suggest small-scale collections or sale of items for the benefit of non-profit organizations or certain persons in need of charitable assistance, such as local families or employees in distress. The Company will evaluate these suggestions and decide

whether to permit limited, small-scale solicitation, provided the following conditions are observed: • Small-scale collections or sales are conducted during non-working time • The activities do not interrupt other employees during their working time, and • The Company's electronic resources must not be used for solicitation purposes during work time. Employees are not permitted to sell items to generate a profit for any other purpose, such as running a business. L. Sexual Harassment Introduction Preferred Residential Homes is committed to maintaining a workplace free from sexual harassment. Sexual harassment is a form of workplace discrimination. All employees are required to work in a manner that prevents sexual harassment in the workplace. This Policy is one component of the Company's commitment to a discrimination-free work environment. Sexual harassment is against the law 5 and all employees have a legal right to a workplace free from sexual harassment and employees are urged to report sexual harassment by filing a complaint internally with the Company. Employees can also file a complaint with a government agency or in court under federal, state, or local antidiscrimination laws. Policy 1. The Company's policy applies to all employees, applicants for employment, interns, whether paid or unpaid, contractors and persons conducting business, regardless of immigration status, with the Company. In the remainder of this document, the term "employees" refers to this collective group. 2. Sexual harassment will not be tolerated. Any employee or individual covered by this policy who engages in sexual harassment or retaliation will be subject to remedial and/or disciplinary action (e.g., counseling, suspension, termination). 3. Retaliation Prohibition: No person covered by this Policy shall be subject to adverse action because the employee reports an incident of sexual harassment, provides information, or otherwise assists in any investigation

of a sexual harassment complaint. The Company will not tolerate such retaliation against anyone who, in good faith, reports or provides information about suspected sexual harassment. Any employee of the Company who retaliates against anyone involved in a sexual harassment investigation will be subjected to disciplinary action, up to and including termination. All employees paid or unpaid interns, or non-employees6 working in the workplace who believe they have been subject to such retaliation should inform manager, or their HRBP. All employees paid or unpaid interns, or non-employees who believe they have been a target of such retaliation may also seek relief in other available forums, as explained in the section on Legal Protections. 4. Sexual harassment is offensive, is a violation of our policies, is unlawful, and may subject the Company to liability for harm to targets of sexual harassment. Harassers may also be individually subject to liability. Employees of every level who engage in sexual harassment, including managers who engage in sexual harassment or who allow such behavior to continue, will be penalized for such misconduct. 5. The Company will conduct a prompt and thorough investigation that ensures due process for all parties, whenever management receives a complaint about sexual harassment, or otherwise knows of possible sexual harassment occurring. The Company will keep the investigation confidential to the extent possible. Effective corrective action will be taken whenever sexual harassment is found to have occurred. All employees, including managers are required to cooperate with any internal investigations of sexual harassment. 6. All employees are encouraged to report any harassment or behaviors that violate this policy. The Company will provide employees a complaint form for employees to report harassment and file complaints. 7. Managers are required to report any complaint they receive, or any harassment that they observe or become aware of, to their HR. 8. This policy applies to all employees, paid or unpaid interns, and non-employees, such as contractors, subcontractors, vendors, consultants or anyone providing services in the workplace, and all must follow and uphold this policy. This policy must be provided to all employees and should be posted prominently in all work locations to the extent practicable (for example, in a main office, not an off-site work location) and be provided to employees upon hiring. What is "SEXUAL HARASSMENT? Sexual harassment is a form of discrimination and is unlawful under

federal, state, and (where applicable) local law. Sexual harassment includes harassment on the basis of sex, sexual orientation, self-identified or perceived sex, gender expression, gender identity and the status of being transgender. Sexual harassment is unlawful when it subjects an individual to inferior terms, conditions, or privileges of employment. Harassment need not be severe or pervasive to be unlawful and can by any harassing conduct that consists of more than petty slights or trivial inconveniences. Sexual harassment includes unwelcome conduct which is either of a sexual nature, or which is directed at an individual because of that individual's sex when: • Such conduct has the purpose or effect of unreasonably interfering with an individual's work performance or creating an intimidating, hostile or offensive work environment, even if the reporting individual is not the intended target of the sexual harassment. • Such conduct is made either explicitly or implicitly a term or condition of employment, or • Submission to or rejection of such conduct is used as the basis for employment decisions affecting an individual's employment.

A sexually harassing hostile work environment includes, but is not limited to, words, signs, jokes, pranks, intimidation or physical violence which are of a sexual nature, or which are directed at an individual because of the individual's sex. Sexual harassment also consists of any unwanted verbal or physical advances, sexually explicit derogatory statements or sexually discriminatory remarks made by someone which are offensive or objectionable to the recipient, which cause the recipient discomfort or humiliation, which interfere with the recipient's job performance. Sexual harassment also occurs when a person in authority tries to trade job benefits for sexual favors. This can include hiring, promotion, continued employment or any other terms, conditions or privileges of employment. This is also called "quid pro quo" harassment. Any employee who feels harassed should report so that any violation of this policy can be corrected promptly. Any harassing conduct, even a single incident, can be addressed under this policy. Examples of sexual harassment The following describes some of the types of acts that may be unlawful sexual harassment and that are strictly prohibited: • Physical acts of a sexual nature, such as: - Touching, pinching, patting, kissing, hugging, grabbing, brushing against another employee's body or poking another employee's body. - Rape, sexual battery, molestation or attempts to commit these assaults. • Unwanted sexual advances or propositions, such as: - Request for sexual favors accompanied by implied or overt threats concerning the target's job performance evaluation, a promotion or other job benefits or detriments. - Subtle or obvious pressure for unwelcomed sexual activities. • Sexually oriented gestures, noises, remarks or jokes, or comments about a person's sexuality or sexual experience, which create a hostile work environment. • Sex stereotyping occurs when conduct or personality traits are considered inappropriate simply because they may not conform to other people's ideas or perceptions about how individuals of a sex should act or look. • Sexual or discriminatory displays or publications anywhere in the workplace, such as: - Displaying pictures, posters, calendars, graffiti, objects, promotional material, reading materials or other materials that are sexually demeaning or pornographic. This includes such sexual displays on workplace computers or cell phones and sharing such displays while in the workplace. • Hostile actions taken against an individual because of the individual's sex, sexual orientation, gender identity and the status of being transgender, such as:

- Interfering with, destroying or damaging a person's workstation, tools or equipment, or otherwise interfering with the individual's ability to perform the job. - Sabotaging an individual's work. - Bullying, yelling, name-calling. RETALIATION Unlawful retaliation can be any action that could discourage a worker from coming forward to make or support a sexual harassment claim. Adverse action need not be job-related or occur in the workplace to constitute unlawful retaliation (e.g., threats of physical violence outside work hours). Such retaliation is unlawful under federal, state, and (where applicable) local law.

REPORTING SEXUAL HARASSMENT Preventing sexual harassment is everyone's responsibility. Preferred Residential Homes cannot prevent or remedy sexual harassment unless it knows about it. Any employee paid or unpaid inter or non- employee who has been subjected to behavior that may constitute sexual harassment is encouraged to report such behavior to a manager or their HRBP. Anyone who witnesses or becomes aware of potential instances of sexual harassment should report such behavior to a manager or their HR. Reports of sexual harassment may be made verbally or in writing. A form for submission of a written complaint is attached to this Policy, and all employee are encouraged to use this complaint form. Employees who are reporting sexual harassment on behalf of other employees should use the complaint form and note that it is on another employee's behalf. Employees, paid or unpaid interns or non-employees who believe they have been a target of sexual harassment may also seek assistance in other available forums, as explained below in the section on Legal Protections. SUPERVISORY RESPONSIBILITES All managers who receive a complaint or information about suspected sexual harassment, observe what may be sexually harassing behavior or for any reason suspect that sexual harassment is occurring, are required to report such suspected sexual harassment to their HR. In addition to being subject to discipline if they engaged in sexually harassing conduct themselves, supervisors and managers will be subject to discipline for failing to report suspected sexual harassment or otherwise knowing allowing sexual harassment to continue. Managers will also be subject to discipline for engaging in retaliation. COMPALINT AND INVESTIGNATION OF SEXUAL HARASSMENT All complaints or information about sexual harassment will be investigated, whether that information was reported in verbal or written form. Investigations will be conducted in a timely manner and will be confidential to the extent possible.

An investigation of any complaint, information or knowledge of suspected sexual harassment will be prompt and through, commenced immediately and completed as soon as possible. The investigation will be kept confidential to the extent possible. All persons, including complainants, witnesses and alleged harassers will be accorded due process, as outlined below, to protect their rights to a fair and impartial investigation. Any employee may be required to cooperate as needed in an investigation of suspected sexual harassment. The Company will not tolerate retaliation against employees who file complaints, support another's complaint or participation in an investigation regarding violation of this policy. While the process may vary from case to case, investigations should be done in accordance with the following steps: • Upon receipt of complaint, the Company will conduct an immediate review of the allegations and take any interim actions (e.g., instructing the respondent to refrain from communications with the complainant), as appropriate. If complaint is verbal, encourage the individual to complete the "Complaint Form" in writing. If he or she refuses, prepare a Complaint Form based on the verbal reporting. • If documents, emails or phone records are relevant to the investigation, take steps to obtain and preserve them. • Request and review all relevant documents, including all electronic communications. • Interview all parties involved, including relevant witnesses. • Create a written documentation of the investigation (such as a letter, memo or email), which contains the following: - A list of all documents reviewed, along with a detailed summary of relevant documents. - A list of names of those interviewed, along with a detailed summary of their statements. - A timeline of events. - A summary of prior relevant incidents, reported or unreported; and - The basis for the decision and final resolution of the complaint, together with any corrective action(s). • Keep the written documentation and associated documents in a secure and confidential location. • Promptly notify the individual who reported and the individual(s) about whom the complaint was made of the final determination and implement any corrective actions identified in the written document. LEGAL PROTECTIONS AND EXTERNAL REMEDIES Sexual harassment is not only prohibited by the Company but also prohibited by state, federal, and, where applicable, local law. Aside from the internal process at the

Company, employees may also choose to pursue legal remedies with the following government entities. While a private attorney is not required to file a complaint with a government agency, you may seek the legal advice of an attorney. In addition to those outlined below, employees in certain industries may have additional legal protections.

Disciplinary Process A. Purpose The Company's Discipline Process is designed to provide a guideline for managers to improve and prevent a recurrence of unproductive or undesirable behavior and/or performance and/or attendance issues noted in the employees they manage as well as the employees' position. Preferred Residential Homes reserves the right to combine or skip the steps outlined below depending upon the facts and severity of each situation. Some of the factors that will determine the severity of the action taken depend upon whether the offense is repeated despite coaching, counseling and/or training, employees' work record and position and the impact the conduct and performance issues have on our company productivity, internal or external customers, employees or the overall organization. For the avoidance of doubt, the Company reserves the right to terminate employees immediately and without warning in accordance with each employees' at-will status, that is either party can terminate the relationship at any time with or without cause and with or without notice. B. Possible Steps 1. Counseling Counseling creates an opportunity for the manager to bring attention to the existing performance, conduct or attendance issue. The manager should communicate the nature of the issue or violation of company policy or procedure. 2. Written Warning A written warning involves a more formal documentation of the performance, conduct or attendance issues and consequences. 3. Final Written Warning Similar to a written warning, the final warning involves formal documentation of the performance, conduct or attendance issues and consequences. 4. Termination of Employment Preferred Residential Homes reserves the right, in its sole discretion, to

combine and skip steps depending upon the factors set forth in section A or other legitimate factors. Nothing in this policy provides any contractual rights regarding employees' discipline or counseling nor should anything in this policy be read or construed as modifying or altering the employment-at-will relationship between the Company and its employees. Leaving the Company Resignation of Employment Because employment with Preferred Residential Homes is "at-will," employees or the Company have the right to terminate employment at any time with or without cause and with or without prior notice. However, if employees are considering resigning, Preferred Residential Homes encourages them to discuss the matter with their manager. Perhaps opportunities of which they may not be aware can be pointed out to them, problems resolved, or misunderstandings corrected. Whatever the reason motivating employees' possible resignation, it is generally to

the Company's mutual benefit for employees to review their situation with the Company before making a final decision. Regardless of whether employees share their plans with Preferred Residential Homes, the Company encourages, but does not require, employees to give proper notice of their intent to resign their position. Proper notice is defined as written notification of employees' intent to separate from the Company's employ addressed to their manager and presented at least fourteen (14) calendar days prior to the last day on which they will be actively at work. Proper notice is requested because separation procedures may take time, and notice will allow the Company time to prepare the necessary documents relative to employees' final pay and continuation/conversion of certain benefits as well as to attempt to recruit and to train a replacement. In addition, by giving proper notice, employees will leave in good standing, which is to employees' benefit. If employees do not give proper notice, they may not be eligible for rehire. Preferred Residential Homes may, in its sole discretion, waive employees notice period, in whole or in part, with or without pay. Employees are no longer eligible to submit PTO requests or utilize PTO once a resignation notice has been given. Discharge from Employment This form of termination of employment is initiated by the Company where the Company believes employees' separation from our employ to be in the Company's best interest. If employees are discharged by the Company, they will not be eligible for rehire. Return of Company Property Employees are required to return all Company property – including but not limited to, computers, phones, keys, ID badges, and credit cards – in their possession or control in the event of termination of employment, resignation, retirement or layoff or immediately upon request. As applicable by state or local law, the Company may withhold the cost of any items not returned from employees' paychecks or their final pay. No information belonging to the Company can be copied for employee use. All action deemed appropriate may be taken to recover or protect Company property. Employee References So that the Company can handle requests for job references in a consistent, fair and lawful manner, all requests for official job references on behalf of the Company should be forwarded to Human

Resources. No other employee is authorized to release references on the Company's behalf for current or former employees. The Company's policy concerning references for former employees is to disclose only the dates of employment and the title of the last position held. If employees authorize disclosure in writing, the Company will also provide a prospective employer or other authorized party with information on the amount of the salary or wage last earned. Verifications of Employment and Income Organizations that wish to verify the employment or income of current or past Company employees will need to contact Human Resources. Employment and income verifications may be required when applying for a loan, buying a car, leasing an apartment, qualifying for a government benefit or similar instances where proof of employment or income is needed. The Company will provide federal, state, and local government agencies any employee information required by law.

PREFERRED RESIDENTIAL HOMES ACKNOWLEDGMENT OF RECEIPT OF EMPLOYEE HANDBOOK This is to acknowledge that I have received a copy of the Company's Employee Handbook. I understand and agree that it is my responsibility to read and comply with the policies in the Handbook, and that this Handbook is intended for informational purposes only. Neither it, Company practices, nor other communications create an employment contract or term. I further agree that neither this document nor any other communication shall bind the Company to employ me now or hereafter and that my employment may be terminated by me or the Company without reason at any time. _____ _____ Employee's Printed Name Employee's Signature _____ Date

PREFERRED RESIDENTIAL HOMES

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_____

Employee's Printed Name

_____

Employee's Signature

_____

Date